Contact:
Lynda Kuhn
416-926-2026
www.canadabread.ca

CANADA BREAD REPORTS SECOND QUARTER FINANCIAL RESULTS

OPERATING EARNINGS UP 53%; EARNINGS PER SHARE UP 72%

Toronto, Ontario – July 22, 2004 – Canada Bread Company, Limited (TSX: CBY) today announced its financial results for the second quarter ended June 30, 2004.

"We are very pleased with our strong performance in the second quarter, particularly in light of market challenges," said Richard Lan, President and Chief Executive Officer of Canada Bread. "Our success in managing rising costs and responding to the low carb trend is a result of our leadership in providing consumers with innovative, nutritious and value-added bakery products, a strategy that defines Canada Bread."

Sales for the second quarter of $329.7 million compared to $312.5 million for 2003, while year-to-date sales were $635.1 million compared to $621.5 million last year. Earnings from operations for the second quarter increased 53% to $23.4 million from $15.3 million last year, while year-to-date earnings from operations were $42.8 million compared to $29.5 million last year. Sales and volumes increased in both the Fresh and Frozen Bakery operations, although the improvement was largely the result of strong Fresh Bakery performance.

All year-to-date earnings from operations comparisons exclude restructuring costs in the first quarter of 2003. Management believes this is the most appropriate basis on which to evaluate operating results, as restructuring costs are not representative of ongoing operating earnings.

Net earnings for the second quarter increased 72% to $15.8 million or $0.62 per share, compared to $9.2 million or $0.36 per share last year. Year-to-date net earnings were $28.3 million or $1.11 per share, compared to $12.5 million or $0.50 per share last year.

Interest expense for the second quarter decreased to $1.5 million from $2.2 million last year, due to lower interest rates and lower debt levels. The effective tax rate for the second quarter was 28% compared to 31% last year. The tax rate differential was primarily due to rate differences in foreign jurisdictions.

Cash flow from operating activities for the second quarter increased to $32.5 million from a use of cash of $6.1 million last year. The significant improvement was due to

higher earnings for the current quarter and favourable movement in working capital balances of $30.5 million compared to last year, primarily resulting from a $20.0 million increase in the accounts receivable securitization program.

Fresh Bakery (fresh bakery products; specialty fresh pasta and sauces)

Fresh Bakery sales for the second quarter increased 7% to $234.6 million compared to $219.2 million last year. Earnings from operations before restructuring costs increased 80% to $16.9 million compared to $9.4 million last year.

As noted above, the Fresh Bakery operations improved operating earnings by $7.5 million quarter-over-quarter. Of this improvement, $2.6 million was due to the impact of a strike in the Fresh Bakery operations on last year's results. Price increases initiated in early 2004 to offset rising input costs have also restored margins to more normalized levels. The performance of the Atlantic Canada bakeries contributed to improved profitability, as new management continued to make good progress in resolving operating issues.

Frozen Bakery (frozen bakery products; including frozen par-baked and specialty bakery products)

Frozen Bakery sales for the second quarter increased 2% to $95.1 million compared to $93.3 million last year. Earnings from operations before restructuring costs increased 9% to $6.5 million from $5.9 million last year. The U.K. bakery operations produced strong results in the quarter, and expansion is underway at two facilities to meet increasing demand for specialty bakery products. Sales growth in the frozen par-baked operations was impacted by a work stoppage involving several large U.S retail customers. Business is gradually recovering and the Company expects par-baked sales growth to return to normal growth rates.

The impact of low carb diets was mitigated through increased sales of whole grain and premium bread categories and through new product innovation. In the white bread category, *Dempster's Stays Fresh* continued to increase market share by delivering a value-added benefit to consumers. A new line of reduced carbohydrate and whole grain frozen par-baked products was launched in the second quarter, further positioning the Company to meet a range of consumer needs.

The Company declared a dividend of $0.06 per share payable on October 1, 2004 to shareholders of record on September 10, 2004.

Canada Bread, which is 84.7% owned by Maple Leaf Foods Inc., is a leading manufacturer and distributor of fresh bakery products, frozen par-baked products and fresh pasta and sauces. The Company had 2003 sales of $1.3 billion and employs approximately 7,000 people at its operations across North America and in the United Kingdom.

Canada Bread Company, Limited
CONSOLIDATED BALANCE SHEETS

In thousands of Canadian dollars *(Unaudited)*	As at June 30, 2004 *(Unaudited)*	As at June 30, 2003 *(Unaudited)*	As at December 31, 2003
ASSETS			
Current assets:			
Cash	**$ 33,121**	$ 6,873	$ 11,528
Accounts receivable (note 3)	**25,803**	61,206	44,699
Due from Maple Leaf Foods Inc.	**2,433**	-	-
Inventories	**34,967**	30,567	33,205
Future tax asset current	**6,214**	8,128	5,838
Prepaid expenses	**5,388**	9,057	2,081
	107,926	115,831	97,351
Property and equipment	**341,017**	318,716	335,811
Other long-term assets	**2,606**	4,397	2,657
Goodwill and other intangibles	**346,455**	328,163	341,814
Future tax asset non-current	**3,774**	-	2,321
	$ 801,778	$ 767,107	$ 779,954
LIABILITIES AND SHAREHOLDERS' EQUITY			
Current liabilities:			
Accounts payable and accrued charges	**$ 149,398**	$ 148,980	$ 151,134
Due to Maple Leaf Foods Inc.	**-**	-	443
Dividends payable	**1,525**	1,525	1,525
Income and other taxes payable	**8,068**	7,659	4,392
Current portion of long-term debt	**704**	7,055	26,941
	159,695	165,219	184,435
Long-term debt	**143,926**	153,704	126,710
Future tax liability	**32,558**	32,011	31,382
Shareholders' equity	**465,599**	416,173	437,427
	$ 801,778	$ 767,107	$ 779,954

The accompanying notes to the consolidated financial statements are an integral part of this statement.

Canada Bread Company, Limited
CONSOLIDATED STATEMENTS OF EARNINGS

In thousands of Canadian dollars, except per share amounts *(Unaudited)*	Quarter ended June 30,		Six months ended, June 30,	
	2004	2003	**2004**	2003
Sales	**$ 329,668**	$ 312,516	**$ 635,080**	$ 621,508
Earnings from operations before restructuring costs	**23,412**	15,335	**42,790**	29,519
Restructuring costs (note 2)	**-**	-	**-**	(7,422)
Earnings from operations	**23,412**	15,335	**42,790**	22,097
Other income (expense)	**(18)**	153	**94**	264
Earnings before interest and income taxes	**23,394**	15,488	**42,884**	22,361
Interest expense	**1,537**	2,191	**2,924**	4,768
Earnings before income taxes	**21,857**	13,297	**39,960**	17,593
Income taxes	**6,058**	4,114	**11,612**	5,092
Net earnings for the period	**$ 15,799**	$ 9,183	**$ 28,348**	$ 12,501
Earnings per share - basic	**$ 0.62**	$ 0.36	**$ 1.11**	$ 0.50
Earnings per share - diluted	**$ 0.61**	$ 0.35	**$ 1.09**	$ 0.50
Dividends per share declared	**$ 0.06**	$ 0.06	**$ 0.12**	$ 0.12
Weighted average number of shares (millions)	**25.4**	25.4	**25.4**	24.8

The accompanying notes to the consolidated financial statements are an integral part of this statement.

Canada Bread Company, Limited
CONSOLIDATED STATEMENTS OF RETAINED EARNINGS

In thousands of Canadian dollars except per share amounts *(Unaudited)*	Six months ended June 30, **2004**	2003
Retained earnings, beginning of period	**$ 277,279**	$ 247,746
Net earnings for the period	**28,348**	12,501
Dividends declared ($0.12 per share; 2003 - $0.12 per share)	**(3,050)**	(3,050)
Retained earnings, end of period	**$ 302,577**	$ 257,197

The accompanying notes to the consolidated financial statements are an integral part of this statement.

Canada Bread Company, Limited
CONSOLIDATED STATEMENTS OF CASH FLOWS

In thousands of Canadian dollars *(Unaudited)*	Quarter ended June 30, 2004	Quarter ended June 30, 2003	Six months ended June 30, 2004	Six months ended June 30, 2003
Cash Provided By (used in):				
Operating activities				
Net earnings for the period	**$ 15,799**	$ 9,183	**$ 28,348**	$ 12,501
Items not affecting cash				
Depreciation	**10,329**	9,201	**20,773**	18,753
Future income taxes	**(367)**	(567)	**(655)**	(4,138)
Loss (gain) on sale of property and equipment	**66**	(91)	**(8)**	(168)
Changes in non-cash operating working capital	**6,669**	(23,790)	**12,475**	(36,425)
	32,496	(6,064)	**60,933**	(9,477)
Financing activities				
Dividends paid	**(1,525)**	(1,525)	**(3,050)**	(2,810)
Increase in long-term debt	**-**	21,744	**4,210**	95,915
Decrease in long-term debt	**(15,250)**	(226)	**(16,689)**	(175,505)
Increase in share capital	**-**	-	**-**	106,000
	(16,775)	19,993	**(15,529)**	23,600
Investing activities				
Additions to property and equipment	**(13,928)**	(14,143)	**(24,530)**	(19,923)
Proceeds from sale of property and equipment	**31**	144	**719**	284
	(13,897)	(13,999)	**(23,811)**	(19,639)
Increase (decrease) in cash and cash equivalents for the period	**1,824**	(70)	**21,593**	(5,516)
Cash and cash equivalents, beginning of period	**31,297**	6,943	**11,528**	12,389
Cash and cash equivalents, end of period	**$ 33,121**	$ 6,873	**$ 33,121**	$ 6,873

The accompanying notes to the consolidated financial statements are an integral part of this statement.

Canada Bread Company, Limited
Notes to Consolidated Financial Statements
(For the quarters ended June 30, 2004 and June 30, 2003)

1. Significant Accounting Policies

The unaudited interim consolidated financial statements should be read in conjunction with the annual consolidated financial statements for the year ended December 31, 2003. These unaudited interim consolidated financial statements have been prepared in accordance with Canadian generally accepted accounting principles using the same accounting policies as were applied in the consolidated financial statements for the year ended December 31, 2003.

a) Segmented Information
As of January 1, 2004, to reflect its new organizational structure, the Company has segmented results into two operating segments: Fresh Bakery Group and Frozen Bakery Group. The Fresh Bakery Group comprises fresh bakery products and specialty fresh pasta and sauces. The Frozen Bakery Group comprises frozen bakery products; including frozen par-baked and specialty bakery products. Prior periods have been restated for comparability.

b) Hedging Relationships
As discussed in note 2(l)(i) of the annual consolidated financial statements for the year ended December 31, 2003, the Company is in compliance with CICA Accounting Guideline 13 relating to hedging.

c) **Accounting for Asset Retirement Obligations**
The application of new accounting standard, Section 3110, "Accounting for Asset Retirement Obligations" as disclosed in note 2(l)(ii) of the annual consolidated financial statements for the year ended December 31, 2003 did not have a material impact on the financial statements of the Company.

d) Comparative Figures
Certain 2003 comparative figures have been reclassified to conform with the financial statement presentation adopted in 2004.

2. Restructuring Costs

During the first quarter of 2003, the Company recorded a $7.4 million restructuring charge ($4.8 million net of tax), related to the closure of its bakery in London, Ontario and certain other operational restructuring items.

3. Accounts Receivable

Under revolving securitization programs, the Company has sold, with limited recourse, certain of its trade accounts receivable to financial institutions. The Company retains servicing responsibilities and assumes limited recourse obligations for delinquent receivables. At June 30, 2004, trade accounts receivable amounting to $70.0 million (June 30, 2003 - $50.0 million, December 31, 2003 - $50.0 million) had been sold under these programs.

4. Derivatives

In the ordinary course of business, the Company enters into derivative financial instruments to reduce underlying fair value and cash flow risks associated with foreign currency, interest rates and commodity prices. If the Company had not entered into these contracts, earnings from operations before restructuring costs would have been lower by $0.1 million ($0.2 million year-to-date) and interest expense would have been higher by $0.6 million ($1.3 million year-to-date) for the second quarter 2004.

During the second quarter, the Company entered into interest rate swap contracts with Maple Leaf Foods Inc. on a notional amount of $130 million with maturity dates ranging from June 28, 2007 to June 28, 2014. Consequently,

the Company has fixed interest rates on approximately 70% of its notional exposure, at interest rates between 3.89% and 5.35%.

5. Pensions

During the period, the Company recorded $2.1 million in net benefit plan expense (2003: $2.1 million). For the first six months of 2004, the Company recorded $4.3 million in net benefit plan expense (2003: $4.0 million).

6. Supplemental information

	Quarter Ended June 30,	Six Months Ended June 30,
	2004	**2004**
Cash taxes paid	$ 1,924	$ 9,287
Cash interest paid	2,645	3,735